Democrats win congressional control

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【メール原文】

Democrats flip both the Senate and the House, with President Donald Trump now likely to now focus on securing his legacy and escalation against Iran ‖‖‖‖‖‖‖‖‖‖‖‖‖‖‖

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summary

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Democrats flip both the Senate and the House, with President Donald Trump now likely to now focus on securing his legacy and escalation against Iran likely in mid-November.
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The UK's path to possible EU re-entry faces formidable political obstacles as Prime Minister Andy Burnham revives the Brexit debate.
*
President Karol Nawrocki’s intervention will deepen polarization in Poland and hinder Prime Minister Donald Tusk’s agenda.
*
A costly stalemate will likely persist in the Yemen war through mid-2027.
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Countries and sectors in this edition of the Daily Brief include the US, the Middle East and North Africa, Mexico, Poland, the UK, geoeconomics, and oil.

the top line

US—Democrats secure House and Senate majorities

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Democrats outperformed our expectations in Senate and House races, and secured an unexpected victory in the Texas gubernatorial race.

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Abdul El-Sayed’s win in Michigan will be held up as proof that far-left candidates are electable in key states, though the results from last night seem more likely to empower moderates, but the large House margin will allow party leaders to isolate the Democratic Socialists.
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Continued declines in US President Donald Trump’s approval and pro-Trump delegates losing their election could widen this path and weaken his hold on the 2028 presidential candidate choice.

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Democrats will only need to flip six Republican votes to clear the filibuster. Overcoming a two-thirds majority threshold to override Trump’s veto seems out of reach, meaning impeachment and trade action are unlikely.

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Trump will now be focused on securing his legacy. On Russia, he will remain in the thrall of a long-shot deal with Russian President Vladimir Putin during the December G20 meeting in Miami, and will keep diplomatic pressure on Ukraine President Volodymyr Zelensky until he grows frustrated. On Iran, he may think he has less left to lose, aligning with our view that escalation is likely around mid-November.

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With the 2028 presidential race in mind, JD Vance and Marco Rubio will now have to decide how to align with President Trump's legacy and, by extension, his base; Rubio is more likely to distance himself while Vance is more likely to be locked in.

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Read more here . Sign up for our US election update call at 10 am ET. Reach out to discuss: unitedstates@eurasiagroup.net .

US, Geoeconomics—Muted market reaction to midterms, though Trump supported stocks continue to underperform

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US equity markets have risen modestly, recovering from an initial selloff when the extent of Democrat gains became apparent.

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Stocks perceived to have benefitted from Trump administration support fell 2% overnight, extending the declines seen in recent weeks and reversing the outperformance of the S&P 500 since Trump’s election in 2024.

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Reach out to discuss: geoeconomics@eurasiagroup.net

UK—Path to EU re-entry faces formidable political obstacles

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Burnham will use the 20 November UK-EU summit to launch a debate on Britain’s future relationship with the EU, including the possibility of rejoining the bloc.

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His willingness to restore free movement of labor with the EU represents a fundamental break with Labour’s post-Brexit position, and his cabinet remains deeply divided on Brexit-related issues.

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He is unlikely to commit Labour to rejoining the EU before testing public and parliamentary support for the idea, making a second referendum likely if Burnham pursues full EU membership as opposed to customs union or single market membership.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Poland—Nawrocki's intervention will deepen polarization and constrain Tusk's agenda

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Tusk’s bid to reconstitute the Constitutional Tribunal is part of his efforts to fulfill a key electoral promise to restore the rule of law; his relationship with Nawrocki will turn even more confrontational, likely further slowing Tusk’s legislative agenda.

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Nawrocki's direct intervention at the tribunal marks a turning point; while some believe he can now unify the right and assemble a governing majority, the right will likely remain fragmented.

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The constitutional crisis will further polarize the voter base, with neither side likely to gain significantly beyond its existing coalition ahead of 2027.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

MENA—Yemen war likely to settle into costly stalemate through mid-2027

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A costly stalemate will likely persist in the Yemen war through mid-2027 (60%), as coalition airpower limits Houthi advances but fragmented Yemeni government forces struggle to reverse gains, while missile and drone attacks continue to disrupt Saudi aviation and raise Red Sea shipping and insurance costs.

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A US-Iran escalation would increase the odds that President Donald Trump directly intervenes in the Yemen war, intensifying Houthi attacks on Saudi civilian and oil infrastructure, but this scenario remains unlikely for now as the Yemeni militant group would prefer to avoid further US involvement.

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A Saudi-led coalition recovery may enable a pause in fighting (25% odds), although a Houthi breakthrough that sharply escalates the war cannot be ruled out (15% odds), during which the group would step up strikes on the kingdom’s infrastructure to coerce concessions, severely compounding aviation and shipping challenges and driving a major oil price spike.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

upcoming conference calls

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4 November 10:00 AM ET—US election update. Register here .

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5 November 11:00 AM ET—US-Iran talks and the outlook for escalation. Register here .

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5 November 8:00 PM ET—Implications of the US midterms. Register here .

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6 November 9:00 AM ET—Local South Africa government elections and political implications looking to 2029. Register here .

eg in brief

Mexico—Pemex’s investment shortfall will force tougher choices after 2027: Pemex will struggle to do more than stabilize crude output as declining mature-field production offsets recovering drilling activity, leaving downstream operations to drive operating improvement as refinery utilization rises and the product mix shifts toward higher-value fuels. Lower debt obligations will ease near-term pressure and likely allow President Claudia Sheinbaum to reduce government support measures in 2027, though the administration will maintain a gradual stabilization strategy rather than pursue a fundamental restructuring of Pemex. Still, the government will likely remain the ultimate financial backstop amid meaningful constraints to private investment, ensuring that Pemex continues to be a fiscal liability for Sheinbaum to manage in 2028 and beyond. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

Upcoming events:

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4 November: Events: South Africa municipal elections; Data: US trade and S&P services PMI; Central bank decisions: Brazil and Poland.
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5 November: Data: Brazil industrial production and Eurozone PPI; Central bank decisions: Czechia, Malaysia, Mexico, Norway, and UK.
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6 November: Data: Germany industrial production, US unemployment, nonfarm payrolls, and UMich consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"I wasn't on the ballot."—Trump said in response to the Democratic congressional victory, after urging voters multiple times to "pretend I'm on the ballot."

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